

22VECV01968 22VECV01968

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Case Number: 22VECV01968 Hearing Date: July 20, 2026 Dept: 107

SUPERIOR COURT OF THE STATE OF
CALIFORNIA

COUNTY OF LOS ANGELES

NORTHWEST DISTRICT

AYUS & CO, INC, A CALIFORNIA CORPORATION,

Plaintiff,

v.

R

BROTHERS, INC., A CALIFORNIA CORPORATION, et al.

Defendants.

Case Number Department

22VECV01968 107

COURT'S [TENTATIVE]
ORDER RE:

Motion for Summary

Judgment,

or in the alternative,
Summary Adjudication

[THE FOLLOWING IS A TENTATIVE RULING IN THE ABOVE CASE]:

(1) Deny motion for summary
judgment;

(2) Grant motion for summary
adjudication as to the second, third, fourth, ninth, and tenth causes of
action;

(3) Deny motion for summary adjudication as to
the first, fifth, sixth, seventh, and eighth causes of action.

I.
BACKGROUND

Plaintiff

Ayus & Co, Inc. ("Plaintiff") is a licensed contractor engaged in plumbing construction work. (Second Amended Complaint ["SAC"] ¶ 2.) Defendant R Brothers, Inc. ("Defendant") acted as the prime contractor for three construction projects located at the John A. Sutter Middle School (the "Sutter Project"), the 68th Street Elementary School (the "68th Street Project"), and the David Wark Griffith Middle School (the "Griffith Project"). (SAC ¶¶ 10, 29, 42.) Plaintiff and Defendant entered into written subcontract agreements where Plaintiff was to perform plumbing work and provide related labor, material, equipment, and services, and Defendant was to pay for the services. (SAC ¶¶ 11, 30, 43.) There remains due and owing \$50,645.52 for the Sutter Project, \$74,665.31 for the 68th Street Project, and \$23,721.68 for the Griffith Project. (SAC ¶ 12, 31, 44.)

On

November 10, 2022, Plaintiff filed a complaint against Defendant, Philadelphia Indemnity Insurance Company, and Does 1 through 100, alleging six causes of action.

On

January 11, 2023, Ayus filed a first amended complaint against Defendant, Philadelphia Indemnity Insurance Company, and Does 1 through 100, alleging thirteen causes of action.

On

February 3, 2023, Ayus filed a request to dismiss Defendant Philadelphia Indemnity Insurance Company and that Defendant was dismissed.

On

September 5, 2023, Plaintiff filed a second amended complaint against Defendant, Philadelphia Indemnity Insurance Company, and Does 1 through 100, alleging causes of action for: (1) breach of written contract; (2) breach of oral agreement; (3) common count for work, labor, and services rendered – agreed price; (4) common count for work, labor and services rendered – reasonable value; (5) breach of written contract; (6) common count for work, labor, and services rendered – agreed price; (7) common count for work, labor and services rendered – reasonable value; (8) breach of written contract; (9) common count for work, labor, and services rendered – agreed price; and (10) common count for work, labor and services rendered – reasonable value.

On

June 20, 2024, Cross-Complainants R Brothers, Inc. and Shahrooz Rostami (“Rostami”) filed a cross-complaint against Cross-Defendants Ayus & Co, Inc., Baba Osiname (“Osiname”) and Roes 1 to 50, alleging causes of action for: (1) breach of contract; (2) breach of the implied covenant of good faith and fair dealing; (3) defamation per se; and (4) defamation per quod.

On

January 5, 2026, Defendant filed a motion for summary judgment (the “Motion”). On May 14, 2026, Plaintiff filed an opposition. On May 22, 2026, Defendant filed a reply.

II.

PLAINTIFF'S OBJECTIONS

Plaintiff

submits objections to Defendant's evidence.

In

response, Defendant argues Plaintiff violated California Rules of Court, rule 3.1354(b) by failing to reference the objections in Plaintiff's separate statement and by not disputing certain undisputed material facts. (Defendant's

Response to Plaintiff's Objections.) Defendant cites Hurley Construction Co. v. State Farm Fire & Casualty Co. ("Hurley") (1992) 10 Cal.App.4th 533, 541 and Rio Linda Unified School Dist. v. Superior Court ("Rio Linda") (1997) 52 Cal.App.4th 732, 741. (Defendant's Response to Plaintiff's Objections.)

In

Hurley, supra, 10 Cal.App.4th at pp. 540-541, Hurley argued no competent evidence supported summary judgment because a declaration was inadmissible and lacked foundation. The Court of Appeal rejected that argument, stating: "Hurley admitted each of the facts listed in State Farm's separate statement of undisputed facts. In doing so, he waived any objection to the exhibits, discovery responses, and deposition testimony which formed the evidentiary basis of State Farm's separate statement."

In

Rio Linda, supra, 52 Cal.App.4th at p. 741, the Court of Appeal distinguished Hurley and stated:

The case is not remotely apposite factually. The express admission that a fact is true necessarily includes the admission the evidence on which it is based is admissible; presumably, an opponent would not admit to that which cannot be proven by the moving party. Here, by contrast, the School admitted nothing. It included an undisputed fact which was part of the record in the case and expressly explained separately . . . why the fact could not be used to support real party's complaint because it was inadmissible.

This

case is distinguishable from Hurley, where Hurley admitted each of the facts. Here, Plaintiff has not admitted all of the facts. (See Plaintiff's Separate Statement.) The court is not persuaded Plaintiff conceded each point by failing to dispute each undisputed material fact that was based upon the evidence.

California

Rules of Court, rule 3.1354(b) states, in relevant part:

All written objections

to evidence must be served and filed separately from the other papers in

support of or in opposition to the motion. Objections to specific evidence must be referenced by the objection number in the right column of a separate statement in opposition or reply to a motion, but the objections must not be restated or reargued in the separate statement . . .

Plaintiff's

separate statement does not reference the objections. (See Plaintiff's Separate Statement.) Thus, Plaintiff's separate statement does not comply with California Rules of Court, rule 3.1354(b).

Defendant

cites no authority permitting the court to overrule Plaintiff's evidentiary objections because Plaintiff failed to refer to them in the separate statement. The court views this issue as a deficiency with Plaintiff's separate statement, as opposed to a deficiency with Plaintiff's evidentiary objections. Thus, the court will consider Plaintiff's objections.

Evidence

Grounds

Ruling

Rostami Declaration

¶ 11

Speculation/lack of foundation; hearsay; secondary evidence rule; argumentative.

Overruled

Rostami Declaration

¶ 13, "Attached as Exhibit 2 to this declaration is a true and correct copy of the Contractor's Certified Payroll Reporting System entries for Ayus with respect to the Griffith Project, which was previously produced in this action bearing bates numbers RBI 000280-281."

Lack of

authentication; lack of foundation; hearsay.

Overruled

Rostami Declaration

¶ 14

Lack of foundation.

Overruled

Rostami Declaration

¶ 16, "The attached 21-page proposed agreement was dated April 2, 2018, referenced 68th St ES as the project, and was already signed by Baba Osiname on behalf of Ayus."

Hearsay; secondary
evidence rule.

Overruled

Rostami Declaration

¶ 16, "Neither the proposed agreement attached as Exhibit 4, the proposed agreement attached to Exhibit 5, nor any version of the Subcontractor Agreement with respect to the 68th Street Project was ever signed by both Ayus and RBI."

Hearsay; secondary
evidence rule.

Overruled

Rostami Declaration

¶ 17, "Attached as Exhibit 7 to this declaration is a true and correct copy of the Contractor's Certified Payroll Reporting System entries for Ayus with respect to the 68th St. Project, which was previously produced in this action bearing bates numbers RBI 000282-285."

Lack of
authentication; lack of foundation; hearsay.

Overruled

Rostami Declaration

¶ 19, "RBI, at all relevant times, disputed and continues to dispute the amount Ayus claimed in the 68th Street Stop Notice."

Lack of foundation;
argumentative.

Overruled

Rostami Declaration

¶ 25, "Prior to issuing check number 4238, I told Baba Osiname that the April 24, 2020 check was being issued on the condition that Baba Osiname would provide a signed release of Ayus's stop notice for the 68th St. Project and that all change orders for 68th Street would be final and that this would be the final check for that project with no additional amounts due."

Hearsay; states
improper legal conclusion; argumentative.

Overruled

Rostami Declaration

¶ 25, ". . . which he did and cashed but failed to provide the release as agreed."

Lack of foundation;
states improper legal conclusion.

Overruled

Rostami Declaration

¶ 27, "Attached as Exhibit 19 to this declaration is a true and correct copy of the Contractor's Certified Payroll Reporting System entries for Ayus with respect to the Sutter Project, which was previously produced in this action bearing bates numbers RBI 000286-288."

Lack of
authentication; lack of foundation; hearsay.

Overruled

Rostami Declaration

¶ 29, “RBI, at all relevant times, disputed and continues to dispute the amount Ayus claimed in the Sutter Project Stop Notice.”

Lack of foundation;
argumentative.

Overruled

Rostami Declaration

¶ 30

Speculation/lack of
foundation.

Overruled

Alon Declaration ¶

7, “Attached to this Declaration as Exhibit 34 is a true and correct copy of the redacted version of the twenty-four page document titled ‘Prime Contractor Prequalification Questionnaire’ notarized on December 2, 2016...”

Lack of
authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

Alon Declaration ¶

7, “Attached to this Declaration as Exhibit 35 is a true and correct copy of the eight page document titled ‘Prequalification Applications’ with a submitted on date of January 16, 2018...”

Lack of
authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

Alon Declaration ¶

7, "Attached to this Declaration as Exhibit 36 is a true and correct copy of the two page document titled 'Prime Contractor Questionnaire Certification' notarized on January 25, 2018..."

Lack of authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

Alon Declaration ¶

7, "Attached to this Declaration as Exhibit 37 is a true and correct copy of the two page document titled 'Prime Contractor Questionnaire Certification' notarized on February 7, 2019..."

Lack of authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

Alon Declaration ¶

7, "Attached to this Declaration as Exhibit 38 is a true and correct copy of the eight page document titled 'Prequalification Applications' with a submitted on date of February 4, 2019..."

Lack of authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

Alon Declaration ¶

7, "Attached to this Declaration as Exhibit 39 is a true and correct copy of the eight page document titled 'Prequalification Applications' with a submitted on date of March 4, 2020..."

Lack of authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

Alon Declaration ¶

7, "Attached to this Declaration as Exhibit 40 is a true and correct copy of the eight page document titled 'Prequalification Applications' with a submitted on date of June 25, 2021..."

Lack of authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

Alon Declaration ¶

7, "Attached to this Declaration as Exhibit 41 is a true and correct copy of the eight page document titled 'Prequalification Applications' with a submitted on date of July 8, 2021..."

Lack of authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

Alon Declaration ¶ 8

Lack of authentication; lack of foundation; hearsay; secondary evidence rule.

Sustained.

Defendant's response

cites authority permitting the court to take judicial notice of the referenced documents. (Defendant's Response to Plaintiff's Objections pp. 30-31.) Requests for judicial notice must be made in a separate document and must comply with California Rules of Court rule 3.1306(c). (Cal Rules of Court, rule 3.1113(l).) Defendant filed no request for judicial notice with the court. To the extent Defendant, in the response to Plaintiff's objections, is requesting the court take judicial notice of the referenced documents, that request is denied.

Alon Declaration ¶ 9

Lack of authentication; lack of foundation.

Overruled

Alon Declaration ¶

10

Lack of

authentication; lack of foundation; hearsay; secondary evidence rule.

Overruled

III.

DEFENDANT'S

OBJECTIONS

Defendant

submits objections to Plaintiff's evidence.

Evidence

Grounds

Ruling

Ex. 1 attached to

Ex. A.

Lacks foundation,

personal knowledge, and authentication; hearsay.

Sustained

Ex. 2 attached to

Ex. A.

Lacks foundation,

personal knowledge, and authentication; hearsay.

Sustained

Ex. 3 attached to
Ex. A.

Lacks foundation and
authentication; hearsay; best evidence.

Sustained

Ex. 4 attached to
Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay.

Sustained

Ex. 5 attached to
Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay.

Overruled

Ex. 6 attached to
Ex. A.

Lacks foundation and
authentication; hearsay; best evidence.

Overruled

Ex. 7 attached to
Ex. A.

Lacks foundation and
authentication; hearsay; best evidence.

Overruled

Ex. 9 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence.

Overruled

Ex. 10 attached to

Ex. A.

Lacks foundation and
authentication; hearsay; best evidence.

Overruled

Ex. 11 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence.

Sustained

Ex. 12 attached to

Ex. A.

Lacks foundation and
authentication; hearsay; best evidence.

Sustained

Ex. 13 attached to

Ex. A.

Lacks foundation and
authentication; hearsay; best evidence.

Sustained

Ex. 14 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence.

Sustained

Ex. 15 attached to

Ex. A.

Lacks foundation and
authentication; hearsay; best evidence.

Sustained

Ex. 16 attached to

Ex. A.

Lacks foundation and
authentication; hearsay.

Sustained

Ex. 17 attached to

Ex. A.

Lacks foundation and
authentication; hearsay.

Overruled

Ex. 18 attached to

Ex. A.

Lacks foundation and
authentication; hearsay.

Overruled

Ex. 19 attached to

Ex. A.

Lacks foundation and
authentication; hearsay.

Overruled

Ex. 20 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence.

Sustained

Ex. 22 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence.

Overruled

Ex. 23 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication, hearsay.

Overruled

Ex. 24 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence.

Sustained

Ex. 26 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay.

Sustained

Ex. 30 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay.

Sustained

Ex. 31 attached to

Ex. A.

Lacks foundation,
personal knowledge, and authentication; hearsay.

Overruled

Ex. A ¶ 3, "The Los
Angeles Unified School District ("LAUSD") follows a multi-step process for
handling change orders across all projects."

Lacks foundation as
to LAUSD processes or procedures; lacks personal knowledge; improper expert
opinion; speculative.

Sustained

Ex. A ¶ 3, "Disputes
in this matter center on payment for approved and executed change order
work."

Improper
conclusion/ultimate fact.

Overruled

Ex. A ¶ 3, “For all change order work there are two components; the construction work that took place on-site, and the administrative work (e.g., paperwork).”

Lacks foundation as to how the change order process works generally and LAUSD processes or procedures specifically; lacks personal knowledge; improper expert opinion; speculative.

Overruled

Ex. A ¶ 3, “The LAUSD process is governed by a set of provided General Conditions – 00 70000 that governs all contracting work for LAUSD, which Ayus was directed to comply with on LAUSD projects.”

Lacks foundation as to LAUSD processes or procedures; lacks personal knowledge; improper expert opinion; speculative.

Sustained

Ex. A ¶ 4.

Lacks foundation that the subcontractor has personal knowledge to opine on LAUSD's CD authorization rules or absence of pre-approval requirements; lacks personal knowledge; improper expert opinion; speculative.

Sustained

Ex. A ¶ 5, “RBI then submits a COP to LAUSD that incorporates Ayus's COP, and then LAUSD negotiates with RBI on the submitted COPs by issuing a Fair Cost Estimate (“FCE”) and/or “Design Development Estimate” (“DDE”), often accompanied by requests for supporting documentation. LAUSD's FCE/DDE are typically treated as the “final word” on how much LAUSD will pay on each COP.”

Lacks foundation and
personal knowledge; improper expert opinion; speculative.

Sustained

Ex. A ¶ 6, "However,
in the (rare) event of disagreement over payment that cannot be negotiated
and/or results in a full denial by LAUSD, only the general contractor (i.e.,
RBI) may initiate a formal claim, as subcontractors (i.e., Ayus) do not have
a direct contractual relationship with the LAUSD."

Lacks foundation and
personal knowledge; improper expert opinion; speculative.

Sustained

Ex. A ¶ 7.

Lacks foundation and
personal knowledge; improper expert opinion; speculative.

Sustained

Ex. A ¶ 8, "LAUSD
construction activities are predominantly scheduled after school hours,
beginning at 3:00 PM. This timing imposes unique logistical challenges
including limited material availability after hours and heightened safety
considerations due to the presence of students, parents, and staff.
Accordingly, characterizing these change orders as mere "time and material"
adjustments oversimplifies the complexity and risk involved. LAUSD followed
this process for each of the projects at issue here."

Lacks foundation and
personal knowledge; improper expert opinion; speculative.

Sustained

Ex. A ¶ 9, "and
never challenged that they were valid change orders during the time the work

was being performed by Ayus.”

Lacks foundation and
personal knowledge; speculative; improper conclusion/ultimate fact.

Overruled

Ex. A ¶ 9, “Despite
Ayus fulfilling its obligations on the Griffith Project, RBI failed to remit
full payment for the additional work.”

Improper
conclusion/ultimate fact; lacks foundation and personal knowledge;
speculative.

Overruled

Ex. A ¶ 9, “There
was no written justification for RBI’s reduced valuation, and Ayus was
deprived of any opportunity to respond or contest the reduction.”

Improper
conclusion/ultimate fact; lacks foundation and personal knowledge; improper
expert opinion; speculative.

Overruled

Ex. A ¶ 9, “For the
Griffith Project, there remains due and owing from RBI a sum no less than
\$64,860.33, which does not include Plaintiff’s interest, costs and fees.”

Improper
conclusion/ultimate fact; lacks foundation and personal knowledge; improper
expert opinion.

Overruled

Ex. A ¶ 9, “RBI
obtained approval for payment from LAUSD in excess of this amount.”

Best and/or

secondary evidence; improper conclusion/ultimate fact; lacks foundation and personal knowledge; improper expert opinion; speculative; hearsay; best evidence.

Sustained

Ex. A ¶ 10, “RBI . .

. never challenged that they were valid change orders during the time the work was being performed by Ayus.”

Lacks foundation and

personal knowledge; speculative; improper conclusion/ultimate fact.

Overruled

Ex. A ¶ 10 “RBI also

failed to remit full payment for the additional work on the 68th Street Project.”

Improper

conclusion/ultimate fact; lacks foundation and personal knowledge; speculative.

Overruled

Ex. A ¶ 10, “In

addition, there was no written justification for the reduced valuation, and Ayus was deprived of any opportunity to respond or contest the reduction.”

Improper

conclusion/ultimate fact; lacks foundation and personal knowledge; improper expert opinion; speculative.

Overruled

Ex. A ¶ 10, “of

which \$90,000 was for base contract work and \$73,723 was for change orders.”

Improper

conclusion/ultimate fact; lacks foundation and personal knowledge; improper expert opinion; speculative.

Overruled

Ex. A ¶ 10, "Ayus submitted additional unpaid change orders, leaving an unpaid balance of \$82,636.75."

Improper
conclusion/ultimate fact; lacks foundation and personal knowledge; improper expert opinion; hearsay; best evidence.

Overruled

Ex. A ¶ 10, "Thus, there remains due and owing from RBI a sum no less than \$82,636.75 on the 68th Street Project, which does not include Plaintiff's interest, costs and attorney fees."

Improper
conclusion/ultimate fact; lacks foundation and personal knowledge; improper expert opinion; speculative.

Overruled

Ex. A ¶ 11, "never challenged that they were valid change orders during the time the work was being performed by Ayus."

Lacks foundation and
personal knowledge; speculative; improper conclusion/ultimate fact.

Overruled

Ex. A ¶ 11, "While RBI facilitated negotiation of Ayus's COPs, none of Ayus's COPs were ultimately rejected by the LAUSD (though LAUSD did request clarification and/or supporting documents for Ayus's work."

Lacks foundation and
personal knowledge; improper expert opinion; speculative; improper
conclusion/ultimate fact.

Overruled

Ex. A ¶ 11,
“However, Ayus also submitted valid change orders totaling \$50,792.59 for
which no payment has been received. There remains due and owing from RBI a
sum no less than \$50,792.59 that was approved by LAUSD on the Sutter project,
which does not include Plaintiff’s interest, costs and attorney fees. See Ex.
6.)”

Improper
conclusion/ultimate fact; lacks foundation and personal knowledge; improper
expert opinion; speculative; hearsay; best evidence.

Overruled

Ex. A ¶ 12, “I speak
English as a second language. I am not as fluent as a native English speaker
in my reading and comprehension skills.”

Contradicts
discovery responses.

Overruled

Ex. A ¶ 12, “I later
freely disclosed my 2001 conviction to the LAUSD, and the district expressed
no concerns.”

Not supported by
transcript; lacks foundation and personal knowledge; speculative; hearsay;
best evidence; improper conclusion/ultimate fact.

Overruled

Ex. A ¶ 13, “RBI
billed LAUSD for Ayus’s successfully completed work and received payment from

LAUSD for Ayus's work."

Lacks foundation and
personal knowledge; speculative.

Sustained

Ex. A ¶ 14, "RBI
altered several of Ayus's Change Order Proposal documents without my
knowledge or consent when submitting them to the LAUSD, thereby requesting
more money from the LAUSD than Ayus was requesting."

Lacks foundation and
personal knowledge; speculative.

Sustained

Ex. A ¶ 14,
"Attached collectively hereto as Exhibit 11 and 12 are true and
correct copies of fraudulent Ayus invoices created and submitted by RBI, and
RBI-signed COPs to LAUSD based on fraudulent Ayus COPs, respectively."

Improper
conclusion/ultimate fact; lacks foundation and personal knowledge;
speculative.

Sustained

Ex. A ¶ 15

Lacks foundation and
personal knowledge; speculative; best and/or secondary evidence; improper
conclusion/ultimate fact.

Sustained

Ex. A ¶ 17, "RBI is
guilty of misstatements in its LAUSD prequalification questionnaire. RBI
represented to LAUSD in its questionnaire that it had not been involved in
litigation while this action was pending."

Lacks foundation and
personal knowledge; speculative; best and/or secondary evidence; hearsay;
improper conclusion/ultimate fact

Sustained

Ex. A ¶ 18, "At
least one COP submission to LAUSD was initially rejected due to RBI's failure
to sign, and Ayus contends this was RBI's responsibility as the general
contractor controlling all submissions to LAUSD. Such a deficiency is
attributable to RBI, not Ayus."

Lacks foundation and
personal knowledge; speculative; best and/or secondary evidence; improper
conclusion/ultimate fact.

Sustained

Ex. A ¶ 19, "thus
not 'disputed work,' rendering the 'disputed work' notice deadline
irrelevant.'"

Improper
conclusion/ultimate fact.

Sustained

Ex. A ¶ 19, "RBI has
not identified a single COP at issue where there is a dispute regarding
whether it is extra work or not."

Speculative;
improper conclusion/ultimate fact.

Sustained

Ex. A ¶ 20,
"directed by LAUSD and RBI."

Improper
conclusion/ultimate fact.

Sustained

Ex. A ¶ 20, "RBI has
not identified a single COP submitted by Ayus that was not timely submitted."

Speculative;
improper conclusion/ultimate fact.

Sustained

Ex. A ¶ 21, "RBI's
payments to Ayus under the various Subcontractor Agreements were not due
until RBI received payment from LAUSD. Section 4 of each subcontract in the
paragraph with the heading "Monthly Estimate," RBI provided: "The balance of
the amount of such requisition, as approved by Contractor and the Architect
or Owner (as required by the Contract Documents) and for which payment has
been received by Contractor from the Owner, shall be due and paid to the
Subcontractor. It is a condition precedent that the Contractor be paid prior
to the Contractor's obligation to pay Subcontractor hereunder."

Lacks foundation and
personal knowledge; hearsay; best and/or secondary evidence; improper
conclusion/ultimate fact.

Overruled

Ex. A ¶ 22

Lacks foundation and
personal knowledge; hearsay; best and/or secondary evidence.

Overruled

Ex. A ¶ 23

Lacks foundation and
personal knowledge; hearsay; best and/or secondary evidence.

Overruled

Ex. A ¶ 24, "Payment
under the LAUSD General Conditions was due within 30 days."

Lacks foundation and
personal knowledge; improper expert opinion; hearsay; best and/or secondary
evidence.

Sustained

Ex. A ¶ 25, "in
small print".

Hearsay; best and/or
secondary evidence; improper conclusion/ultimate fact.

Overruled

Ex. A ¶ 25, "I did
not understand from the memo lines that by cashing the checks I was releasing
my pending claims."

Improper
conclusion/ultimate fact.

Overruled

Ex. A ¶ 26, "The
Sutter Stop Notice expressly stated the base contract amount paid (\$58,000),
the total value of work performed (\$108,792.59), and the amount still due
(\$50,792.59)."

Hearsay; best and/or
secondary evidence.

Overruled

Ex. A ¶ 26, "These

notices were formal assertions of Ayus's claims and are inconsistent with any claim of accord and satisfaction."

Improper
conclusion/ultimate fact.

Sustained

Ex. A ¶ 27, "do not
reflect LAUSD-approved amounts."

Lacks foundation and
personal knowledge; hearsay; best and/or secondary evidence; speculative;
improper conclusion/ultimate fact.

Sustained

Ex. A ¶ 27, "Ayus
contends RBI withheld FCE/DDE documentation until after suit, preventing Ayus
from determining what LAUSD approved so Ayus could bill RBI for the
differences. (See Ex. 13.)"

Improper
conclusion/ultimate fact; lacks foundation and personal knowledge;
speculative.

Sustained

Ex. A ¶ 28, "Under
the subcontract's incorporation provisions, Ayus was required to adhere to
LAUSD contract documents and processes, including those in "General
Conditions", and Ayus contends it followed RBI's instructions to perform
change order work that RBI requested, supervised, accepted, and submitted to
LAUSD."

Lacks foundation and
personal knowledge; hearsay; best and/or secondary evidence; speculative;
improper conclusion/ultimate fact.

Sustained

Ex. A ¶ 29, "Ayus

contends that RBI signed and submitted multiple LAUSD COP packages that listed Ayus COPs as supporting documentation reflecting RBI's acceptance and use of Ayus's COP submissions in the LAUSD change order process."

Lacks foundation and

personal knowledge; speculative; best and/or secondary evidence; improper conclusion/ultimate fact.

Sustained

Ex. A ¶ 30, "yet

continued to direct the work, accept the performance, and submit the COPs to LAUSD."

Improper

conclusion/ultimate fact.

Sustained

Ex. A ¶ 30, "and

cannot now be used as a defense to payment."

Improper

conclusion/ultimate fact.

Sustained

Ex. A ¶ 31, "As to

the Griffith Project, it cannot be said that the Griffith Project is finally "complete" or "accepted" because of LAUSD's findings that RBI had unlawfully withheld payment of wages to workers of Ayus."

Improper

conclusion/ultimate fact; hearsay; best and/or secondary evidence rule.

Sustained

Ex. A ¶ 32, "After

RBI altered Ayus's "Change Order Proposal (COP)" documents and submitted them to the LAUSD, RBI and LAUSD would negotiate the final approved amount of the COPs. LAUSD's final approved number was then memorialized by a "Fair Cost Estimate" ("FCE"), also known as a "Design Development Estimate" ("DDE"). The final approved numbers in the FCE/DDE documents reflect larger payments from LAUSD than Ayus requested."

Lacks foundation and
personal knowledge; speculative; best and/or secondary evidence; improper
conclusion/ultimate fact.

Sustained

Ex. A ¶ 33,
"relating to the Griffith Project."

Contradicts
discovery responses.

Overruled

Ex. A ¶ 33, "Ayus
contends this reflects ongoing payment disputes/communications."

Improper
conclusion/ultimate fact.

Overruled

Ex. A ¶ 34, "For all
three projects, the LAUSD Notices of Contract Completion & Acceptance
expressly qualified "completion" by stating that the District was treating
the project as complete "for administrative purposes" with exceptions for
labor compliance withholdings, stop payment notices, and punch list items."

Lacks foundation and
personal knowledge; hearsay; best and/or secondary evidence.

Sustained

Ex. A ¶ 34,

“Administrative/closeout work on change orders continued for weeks or months after the last on-site labor dates shown in payroll records.”

Lacks foundation and
personal knowledge.

Overruled

Ex. A ¶ 35, “On or

about April 3, 2018, I spoke with RBI's President, Shahrooz Rostami. During our conversation, I informed Mr. Rostami that if my amended Subcontractor Agreement was not accepted by RBI, then RBI would have to find a new subcontractor, which would necessitate RBI's filing of a Request for Substitution of Subcontractor with the LAUSD, and that process could be a protracted one. Mr. Rostami explained that he needed Ayus to begin work immediately and promised to sign to Ayus's amended Subcontractor Contractor if Ayus would immediately begin work on an urgent basis. I accepted Mr. Rostami's verbal acceptance of the Ayus amended Subcontractor Agreement and promise to deliver a signed copy, and in exchange, immediately began work on the 68th Street Project. The parties both performed pursuant to the unsigned written agreement, denoting acceptance.”

Hearsay; contradicts
discovery responses; improper conclusion/ultimate fact.

Sustained as to the
statement “denoting acceptance.” Overruled as to the remainder of the
paragraph.

Ex. A ¶ 36, “RBI

insisted on a course of conduct between RBI and Ayus that more closely aligned with the provisions of the General Conditions between RBI and LAUSD. Ayus accepted this course of conduct believing that Section 2 of the Subcontractor Agreement that Ayus “perform all subcontract work (the “Work”) in accordance with this Subcontract, and Contract Documents, all of which are incorporated in this Agreement by this Reference.” Ayus's understanding is further supported by Section 3 of the Subcontractor Agreement requiring that Ayus, “Provide all labor, material and equipment necessary to complete scope of work in accordance with the General Conditions[.]” Article 6.21 of the

General Conditions specifically requires that Ayus comply with LAUSD's General Conditions: By appropriate subcontract agreement CONTRACTOR shall require each Subcontractor, to the extent of the Work to be performed by the Subcontractor, to be bound to CONTRACTOR by terms of the Contract Documents, and to assume toward CONTRACTOR all obligations and responsibilities which CONTRACTOR, by the Contract Documents, assumes toward owner." (RBI 005495.) Articles 10 and 11 further require that Ayus follow the terms and conditions set forth in the General Conditions."

Contradicts

discovery responses; lacks foundation and personal knowledge; hearsay; best and/or secondary evidence; improper conclusion/ultimate fact.

Sustained

Ex. A ¶ 37, "All change orders for the Griffith, 68th Street, and Sutter Projects included both construction work, and administrative work. The dates of completion of construction work for each change order are different than the completion dates of administrative work for each change order. The dates of completion of administrative work are more accurate in terms of providing an "all work" date of completion. Accordingly, the approximate dates of completion of "all work" for each Project are as follows: Griffith: 10/28/2018; 68th St.: 11/8/2019; Sutter: 4/16/2021."

Lacks foundation and

personal knowledge; speculative; hearsay; best and/or secondary evidence; improper conclusion/ultimate fact.

Overruled

Ex. A ¶ 39, "Ayus's

COPs were the notices of its claims seeking compensation for extra work ordered by RBI, and they were timely submitted as shown in the COP Submission Date table attached to at Ex. 20. In Section 16.3 of the General Conditions—which Ayus was obligated to follow due to its incorporation by Sections 2 and 3 of the Subcontractor Agreements—the conditions surrounding when a claim arise is set forth: "[T]he claim arises upon the issuance of a written final decision by the OAR denying in whole or in part CONTRACTOR's Change Order Request."

Lacks foundation and
personal knowledge; hearsay; best and/or secondary evidence; improper
conclusion/ultimate fact.

Sustained

Ex. A ¶ 40

Lacks foundation and
personal knowledge; speculative; hearsay; best and/or secondary evidence;
improper conclusion/ultimate fact.

Overruled

Ex. B ¶ 2 “Ayus

repeatedly requested in discovery evidence of the dates that RBI received
payment from LAUSD on the Ayus COPs at issue. RBI served an amended response
to RFP No. 18 in the first set of documents requests, responding that RBI was
unable to produce any payment documents from the Griffith project because it
no longer has possession of such documents and no longer has access to
applicable bank records. RBI also responded that it had produced its payment
records for the Sutter and 68th Street Projects. (Attached collectively
hereto as Exhibit 1 is a true copy of Ayus’s two sets of document requests
and RBI’s amended response to Ayus’s second set of RFPs served on March 26,
2026.) RBI was unable to provide any documents pinpointing the dates it received
payment for Ayus’s change orders.”

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence; improper
conclusion/ultimate fact.

Overruled

Ex. B ¶ 3, “In

response to Ayus’s document requests for evidence of the dates that RBI
received payment from LAUSD on the Ayus COPs at issue RBI could only provide
records entitled “Payment Advice” showing the dates that LAUSD initiated
three ACH payments for RBI. (Attached collectively hereto Exhibit 2 is a true
copy of the three “Payment Advice” documents produced by RBI in discovery.)

The only Payment Advice relevant to RBI's statute of limitations defense is the Payment Advice for the 68th Street Project showing ACH initiated on 12/13/2019 in the amount of \$589,113.63."

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence; improper conclusion/ultimate fact.

Overruled

Ex. B ¶ 4, "There is no Payment Advice or other evidence of the date RBI received payment on the Griffith Project. RBI did produce in discovery payment applications that it submitted to LAUSD for the Griffith Project, the last of which is dated 2/28/2019. LAUSD approved the payment application on 3/1/2019. (Attached hereto Exhibit 3 is a true copy of the Griffith payment application produced by RBI in discovery.)"

Improper
conclusion/ultimate fact; lacks foundation, personal knowledge, and authentication; hearsay; best evidence.

Overruled

Ex. 1 attached to
Ex. B.

Description does not
accurately reflect the documents included in the exhibit; lacks foundation, personal knowledge, and authentication.

Sustained

Ex. 2 attached to
Ex. B.

Lacks foundation,
personal knowledge, and authentication; hearsay; best evidence.

Overruled

Ex. 3 attached to

Ex. B.

Lacks foundation,

personal knowledge, and authentication; hearsay; best evidence.

Overruled

IV.

PLAINTIFF'S

OBJECTIONS TO REPLY EVIDENCE

Plaintiff

objects to Alon's supplemental declaration and attached exhibit submitted with Defendant's reply.

"The

general rule of motion practice . . . is that new evidence is not permitted with reply papers. . . . 'The inclusion of additional evidentiary matter with the reply should only be allowed in the exceptional case ...' and if permitted, the other party should be given the opportunity to respond." (Jay v. Mahaffey (2013) 218 Cal.App.4th 1522, 1537-1538.)

Plaintiff

has not had an opportunity to respond to Alon's supplemental declaration and the attached exhibit. The court will not consider the evidence Defendant submits with the reply.

V.

TIMELINESS

A

motion for summary judgment "may be made at any time after 60 days have elapsed since the general appearance in the action or proceeding of each party against whom the motion is directed or at any earlier time after the general appearance that the court, with or without notice and upon good cause shown, may direct." (Code Civ. Proc., § 437c, subd. (a)(1).) "The motion shall be heard no later than 30 days before the date of trial, unless the court for good cause orders otherwise. The filing of the motion shall not extend the time within which a

party must otherwise file a responsive pleading.” (Code Civ. Proc., § 437c, subd. (a)(3).)¿

¿

Per Code of Civil

Procedure section 437c, subdivisions (a)(2), (b)(2) and (4):

¿

Notice of the motion and supporting

papers shall be served on all other parties to the action at least¿81¿days before the time appointed for hearing.

If the notice is served by mail, the required¿81-day¿period

of notice shall be increased by 5 days if the place of address is within the State of California, 10 days if the place of address is outside the State of California but within the United States, and 20 days if the place of address is outside the United States. If the notice is served by facsimile transmission, express mail, or another method of delivery providing for overnight delivery, the required¿81-day¿period of notice

shall be increased by two court days . . . An

opposition to the motion shall be served and filed not less than¿20¿days preceding the noticed or continued date of hearing, unless the court for good cause orders otherwise . . . A reply to the opposition shall be served and filed by the moving party not less than¿11¿days preceding the noticed or continued date of hearing, unless the court for good cause orders otherwise.¿

The

Motion was originally set for hearing June 3, 2026. Defendant served Plaintiff with the Motion by electronic mail on January 5, 2026. (Motion pdf p. 29.) Defendant timely served the Motion more than 81 days, plus two court days, before June 3, 2026. The opposition and reply were also timely filed.

VI.

LEGAL

STANDARD

“A

party may move for summary judgment in¿an¿action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding.” (Code Civ. Proc., §¿437c, subd. (a)(1).)¿¿

“Code

of Civil Procedure section 437c, subdivision (c), requires the trial judge to grant summary judgment if all the evidence submitted, and ‘all inferences reasonably deducible from the evidence’ and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.” (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119, original italics)

“A

defendant moving for summary judgment has the initial burden of presenting evidence that a cause of action lacks merit because the plaintiff cannot establish an element of the cause of action or there is a complete defense.” (Gordon v. Continental Casualty Company (“Gordon”) (2024) 107 Cal.App.5th 89, 99.) “When the defendant moves for summary judgment, in those circumstances in which the plaintiff would have the burden of proof by a preponderance of the evidence, the defendant must present evidence that would preclude a reasonable trier of fact from finding that it was more likely than not that the material fact was true [citation], or the defendant must establish that an element of the claim cannot be established, by presenting evidence that the plaintiff ‘does not possess and cannot reasonably obtain, needed evidence.’” (Padilla v. Rodas (2008) 160 Cal.App.4th 742, 747.)

“If

the defendant satisfies this initial burden, the burden shifts to the plaintiff to present evidence demonstrating there is a triable issue of material fact.” (Gordon, supra, 107 Cal.App.5th at pp. 99-100.) To establish a triable issue of material fact, the party opposing the motion “must produce substantial responsive evidence[.]” (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 162-163.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Gordon, supra, 107 Cal.App.5th at p. 99.)

VII.

DISCUSSION

Plaintiff

alleges ten causes of action in the second amended complaint. The first through fourth causes of action relate to the Sutter Project. (SAC ¶¶ 9-27.) The fifth

through seventh causes of action relate to the 68th Street Project. (SAC ¶¶ 28-40.) The eighth through tenth causes of action relate to the Griffith Project. (SAC ¶¶ 41-53.)

Unclean Hands

Defendant

argues Plaintiff's claims are barred by unclean hands because Plaintiff was federally convicted of mail fraud and wire fraud in 2001, but Plaintiff's president said on LAUSD's Prime Contractor Prequalification Questionnaire he had not been convicted of a federal or state crime of fraud, theft, or act of dishonesty. (Motion pp. 12-14.)

In

opposition, Plaintiff argues Defendant cites no analogous caselaw, the misstatements had no adverse impact on Defendant, the alleged conduct is not directly related to the harm, and Defendant's own inequitable conduct creates triable issues and undermines its position. (Opposition pp. 11-13.)

"The

unclean hands rule is settled in California that whenever a party who, as actor, seeks to set judicial machinery in motion and obtain some remedy, has violated conscience, good faith or other equitable principle in his prior conduct, then the doors of the court will be shut against him in limine; the court will refuse to interfere on his behalf to acknowledge his right, or to afford him any remedy." (Pond v. Insurance Co. of North America ("Pond") (1984) 151 Cal.App.3d 280, 289-290, original italics, brackets removed.) The party's conduct must directly infect the cause of action before the court it cannot be unrelated improper past conduct. (Id. at p. 290.) "The actions of the party alleged to have soiled hands must relate 'directly to the transaction concerning which the complaint is made; i.e., it must pertain to the very subject matter involved and affect the equitable relations between the litigants.'" (Id.)

Defendant

cites Pond, supra, 151 Cal.App.3d and Burton v. Sosinsky ("Burton") (1988) 203 Cal.App.3d 562, 573-574 as examples where unclean hands was applied where a party obtained contracts through misrepresentation or concealment. (Reply p. 4.)

In

Pond, *supra*, 151 Cal.App.3d at p. 187, the trial court granted Insurance Company of North America's ("INA") motion for summary judgment in part because there were no triable issues "as to whether Pond knowingly failed to disclose documents in the underlying litigation that he knew to be critical to INA's case, and thus was barred from relief in a malicious prosecution action against INA because of his unclean hands." The Court of Appeal noted that Pond's activities directly related to the malicious prosecution action because the indemnity suit was the entire basis of Pond's claim. (Id. at p. 290.)

INA submitted evidence showing Pond "knew of INA's intent that the higher pilot minimums applied at the time the policy was written, and that Pond was in fact not present during coverage discussions between Stafford of INA and Clarke of Mission, even though he had stated in the declaratory relief suit that he was present and understood that the lower pilot minimums were to apply, since he left before pilot minimums were discussed." (Id.) Pond did not disclose a letter, to which Pond attached a copy of the pilot minimums from the old INA policy and a "draft response to INA's questionnaire which he had shown only to Mission's counsel and which contained directly contradictory statements as to his perception of the understanding as to coverage." (Id.) The Court affirmed the trial court's judgment, stating it was "correct in determining that Pond was barred from his malicious prosecution action by his unclean hands as a result of his violation of principles of good faith and good conscience." (Id. at p. 292.)

In

Burton, *supra*, 203 Cal.App.3d at p. 564-565, the trial court ruled Burton's foreclosure on a mechanic's lien was barred because Burton and Katotakis had conspired to defraud Sosinsky. The Court of Appeal noted:

There is substantial evidence that Sosinsky was overbilled by Katotakis and some of Sosinsky's payments were credited to another account. Payment in excess of Burton's invoices was returned by Burton to Katotakis. There is also substantial evidence to support the trial court's conclusion that Burton agreed to this arrangement and profited by the continued business relationship with Katotakis. Moreover, the record supports the conclusion that Burton knew at the time his actions were wrongful and even illegal.

(Id.

at p. 571.)

Plaintiff

does not dispute the following facts: Contractors become prequalified for LAUSD's subcontractor list through Prequalification as a General Contractor with LAUSD. (Plaintiff's Separate Statement No. 3.) To be eligible for selection, the contractor must be on the LAUSD's Prequalified Mechanical, Electrical, Plumbing subcontractor list. (Plaintiff's Separate Statement No. 2.) Osiname was federally convicted of mail fraud and wire fraud in 2001. (Plaintiff's Separate Statement No. 8.)

Defendant

submits evidence Plaintiff, through Osiname, responded on the prequalification applications that neither the applicant, nor its owners, partners, officers, or managing employees had been convicted of a federal or state crime of fraud, theft, or other act of dishonesty. (Defendant Ex. 34 attached to Ex. B at pdf pp. 412, 422; Ex. 35 attached to Ex. B at pdf p. 429; Ex. 36 attached to Ex. B at pdf p. 434; Ex. 38 attached to Ex. B pdf p. 444; Ex. 39 attached to Ex. B at pdf p. 453; Ex. 40 attached to Ex. B at pdf p. 462.) Defendant also submits evidence it could not and would not have selected Plaintiff if Plaintiff was not on LAUSD's preapproved list and would not have selected Plaintiff if it knew about Osiname's federal mail and wire fraud convictions. (Defendant Ex. A ¶¶ 8-11.)

Plaintiff

submits a declaration by Osiname indicating he believed the question at issue was a duplicate question, based on a slightly differently phrased question from a different part of the application, and the incorrect selection was an oversight. (Plaintiff Ex. A ¶ 12.) Plaintiff also submits evidence it later disclosed the conviction to the LAUSD. (Plaintiff Ex. 10 attached to Ex. A at pdf pp. 129-130.)

Although

not cited by either party, the court finds *Murillo v. Rite Stuff Foods, Inc.* ("Murillo") (1998) 65 Cal.App.4th 833, applicable here. In *Murillo*, supra, 65 Cal.App.4th at p. 845, the plaintiff used false resident alien and social security cards to obtain employment from the defendant. The Court of Appeal noted that "Plaintiff's misrepresentation went to the heart of the employment relationship and related directly to her wrongful discharge and contractual claims" and the unclean hands doctrine would bar those claims. (Id.) The Court further noted the plaintiff's discrimination and tort claims arose

from acts occurring during her employment. (Id. at p. 847.) The plaintiff had alleged sexual harassment. (Id.) The Court noted the “plaintiff’s alleged injuries are not the consequences of her fraud but of Atilano’s despicable conduct and her employer’s tolerance of that conduct. There thus is no direct connection between her wrongdoing and the harm she suffered.” (Id. at pp. 851-852.)

Here,
submitting false statements to obtain approval to be placed on a prequalified list is analogous to submitting false information to obtain employment. Although the court understands they are contractual in nature, Plaintiff’s causes of action here are related to whether Defendant properly paid Plaintiff. (SAC ¶¶ 14, 31, 44.) The court finds there is a lack of direct connection between Plaintiff’s wrongdoing and the harm suffered.

Finally,
Defendant’s argument assumes Plaintiff would not have been placed on the prequalification list if Plaintiff had honestly answered the question about prior convictions. But no evidence has been provided to the court that a truthful answer would have disqualified Plaintiff from the prequalification list. The question at issue is under the “scorable” section of the questionnaire, as opposed to the mandatory requirements section. (See, e.g., Ex. 34 attached to Ex. B pdf pp. 412, 406.) The questionnaire required Plaintiff to obtain a minimum score, but Defendant submits no evidence showing answering “Yes” to the question at issue would have put Plaintiff below the minimum score, thereby disqualifying Plaintiff.

Defendant
has not met its burden of showing all of Plaintiff’s causes of action are barred by unclean hands.

Eighth to Tenth
Causes of Action

Section 9

Defendant
argues the Griffith Project causes of action are barred because Plaintiff did not comply with Section 9’s 30-day requirement to provide written notice of claim relating to extra compensation for a disputed change order. (Motion pp. 17-18.)

In

opposition, Plaintiff argues the LAUSD procedures superseded the subcontract, Defendant waived the written change order provisions through its conduct, and Section 9's "Disputed Work" provision does not apply. (Opposition pp. 14-17.)

The

elements of a breach of contract claim are: (1) existence of a contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) resulting damage. (Wall Street Network, Ltd. v. N. Y. Times Co. (2008) 164 Cal.App.4th 1171, 1178.)

The

elements of a common counts claim are: (1) a "statement of indebtedness in a certain sum, (2) the consideration, i.e., goods sold, work done, etc., and (3) nonpayment." (Farmers Ins. Exchange v. Zerin (1997) 53 Cal.App.4th 445, 460.)

Defendant submits Section 9 of the contract, which states:

Subcontractor

hereby agrees to make any and all changes, furnish the materials and perform such work as Contractor may require, without nullifying this Agreement, at a reasonable addition to, or reduction from, the Contract Price stated herein and pro rata to the same. Subcontractor shall adhere to the plans and specifications unless a change is authorized in writing. Under no conditions shall Subcontractor make any changes, either as additions or deductions, without the written order of the Contractor and Contractor shall not pay any extra charges made by the Subcontractor that have not been agreed upon in writing by Contractor and, in no event, shall Contractor make payment or any such extra charges unless and until the Contractor itself receives payment. Subcontractor shall submit immediately to the Contractor written copies of its cost or credit proposal for changes in the work. Disputed work shall be performed as ordered in writing by the Contractor and the proper cost or credit breakdown therefore shall be submitted without delay by Subcontractor to Contractor. Subcontractor shall give written notice of claim relating to any disputed work for which extra compensation is asserted together with cost or credit breakdown within thirty (30) days after such work is performed (or lesser time if required under the Prime Contract) or Subcontractor shall be deemed to have voided and abandoned any claim therefore. If Subcontractor

initiates a substitution, deviation or change in the Work which affects the expense or scope of the work or the expense of other trades, Subcontractor shall be liable for the expense therefore. No change, alteration or modification in or deviation from this Agreement or the plans or specifications, whether made in the manner herein provided or not, shall release or exonerate, in whole or in part, any surety on any bond given in connection with this Agreement and neither Owner nor Prime Contractor or Contractor shall be under any obligation to notify the surety or sureties of any such change.

(Defendant

Ex. 1 attached to Ex. A pdf p. 22.)

Defendant

also submits Plaintiff's discovery responses, where Plaintiff stated it was "unable to identify the date it completed the work for each change order . . ."

(Defendant Ex. 29 attached to Ex. B pdf p. 371.)

The

court finds Defendant has met its burden here by presenting evidence Plaintiff was required to obtain written order from Defendant before making changes and Plaintiff was required to provide written notice within 30 days after the work was performed, but Plaintiff stated it was unable to identify the date work was completed.

First,

Plaintiff argues the LAUSD procedures superseded the contract. The court sustained Defendant's objections to the evidence cited in Plaintiff's separate statement. (Plaintiff's Separate Statement Additional Material Facts Nos. 1-5.) The court does not consider this issue further.

Second,

Plaintiff argues Defendant's waived the procedures through its conduct. Plaintiff cites *Frank T. Hickey, Inc. v. Los Angeles Jewish Community Council* (1954) 128 Cal.App.2d 676, 682-683, which states "[t]he parties may, by their conduct, waive such a provision with the result that the subcontractor does extra work without a written order. If the circumstances indicate that the parties intended to waive the provision, the subcontractor will be protected."

(Opposition pp. 14-15.)

Plaintiff

submits a declaration by Osiname, who states: "For the Griffith Project, RBI acknowledged that the change order work requested by LAUSD's CDs was outside the original subcontract agreement and never challenged that they were valid change orders during the time the work was being performed by Ayus." (Plaintiff Ex. A ¶ 9.)

The

court finds this creates a triable issue of material fact regarding whether Defendant waived Section 9's requirements by its conduct.

Statute of
Limitations

Defendant

argues the eighth to tenth causes of action are barred by the statute of limitations because the last dates Plaintiff completed work on the Griffith Project was the week of April 16, 2018, through April 22, 2018. (Motion p. 19.) Defendant also notes that "[i]rrespective of Plaintiff's work on the property, the project as a whole was completed when LAUSD issued a Notice of Contract Completion and Acceptance dated October 18, 2018." (Motion p. 19 fn. 19.)

In

opposition, Plaintiff argues there are genuine disputes regarding when the statute commenced. (Opposition p. 17.) First, Plaintiff argues Defendant has not met its burden of showing the causes of action are barred because Defendant's payments to Plaintiff were not due until Defendant was paid by LAUSD. (Opposition p. 17.) Plaintiff notes Defendant's "motion contains no evidence or analysis regarding when it received payment from LAUSD for each COP at issue for the projects." (Opposition p. 18.) Plaintiff points to evidence showing Defendant produced during discovery the last payment application related to the Griffith project was dated April 24, 2020. (Opposition p. 18.) Plaintiff argues payments were due within 30 days, so "[a]ssuming that LAUSD timely made this payment, which [Defendant] has not proven, the earliest that [Plaintiff's] claims could have accrued for the Griffith Project appears to be March 24, 2019." (Opposition pp. 18-19.)

Actions

based upon written contracts have a four-year statute of limitations. (Code Civ. Proc., § 337, subd. (a).)

Defendant

submits payroll records indicating the last payroll period entered by Plaintiff was for the week of April 23, 2018, to April 29, 2018. (Defendant Ex. A ¶ 13; Ex. 2 attached to Ex. A pdf p. 39.) Defendant submits evidence it has no record of Plaintiff submitting a written notice of claim seeking extra compensation for Griffith Project change order before May 22, 2018 or before Plaintiff filed its amended complaint in January 2023. (Defendant Ex. A ¶ 14.) Finally, Defendant submits LAUSD's Notice of Contract Completion and Acceptance, dated October 18, 2018. (Defendant Ex. A ¶ 15.) Defendant's president, Shahrooz Rostami states the Notice of Contract Completion and Acceptance means "no other work is to be performed on the project." (Defendant Ex. A ¶¶ 1, 15.)

Evidence

showing when the last payroll period was entered does not show when payment was due. Likewise, although Rostami states the Notice of Contract Completion and Acceptance means "no other work is to be performed on the project", Rostami does not state it means all payments were due at or before the date the notice was issued.

Defendant

has not met its burden on this issue.

Fifth to Seventh

Causes of Action

Written Contract

Defendant

argues the breach of written contract cause of action fails because the parties did not enter into a written contract relating to the 68th Street Project.
(Motion p. 20.)

In

opposition, Plaintiff states Plaintiff proposed an amended contract with modifications to Defendant's standard form. (Opposition p. 22.) Plaintiff argues "the Parties' subsequent conduct demonstrates mutual assent to the written subcontract . . ." (Opposition p. 22.)

The

fifth cause of action is for breach of written contract. (SAC p. 6.) Plaintiff alleges Plaintiff and Defendant “entered into or were to enter into a written subcontract agreement under which Plaintiff was to perform certain plumbing work, on the 68th Street Elementary School Project, and provide related labor, material, equipment and services for the same, and Defendants, and each of them, were to pay for such services.” (SAC ¶ 30.) Plaintiff alleges an unsigned copy of the contract is attached to the second amended complaint as Exhibit B. (SAC ¶ 30.) Plaintiff alleges that “Plaintiff and [Defendant] . . . understood and agreed to the terms as set forth in Exhibit B and agreed to be bound to that agreement in the event no final and signed written agreement exists.” (SAC ¶ 30.)

The

parties agree they did not sign the 68th Street Project Subcontractor Agreement. (See Plaintiff’s Separate Statement No. 84.) However, the absence of signatures does not necessarily render contracts unenforceable. (*Vita Planning & Landscape Architecture, Inc. v. HKS Architects, Inc.* (“Vita”) (2015) 240 Cal.App.4th 763, 773.) “A ‘voluntary acceptance of the benefit of a transaction is equivalent to a consent to all the obligations arising from it, so far as the facts are known, or ought to be known, to the person accepting.’” (*Id.*, original italics.) Thus, the absence of signatures here is not dispositive.

Defendant

also submits Form Interrogatory No. 50.1(b), which states: “state each part of the agreement not in writing, the name, ADDRESS, and telephone number of each PERSON agreeing to that provision, and the date that part of the agreement was made . . .” (Defendant Ex. 26 attached to Ex. B pdf p. 344.) Plaintiff’s supplemental response stated “None to Responding Party’s knowledge.” (Defendant Ex. 2 attached to Ex. A pdf p. 345.) Form Interrogatory No. 50.1(d) states “identify all DOCUMENTS that are part of any modification to the agreement, and for each state the name, ADDRESS, and telephone number of each PERSON who has the DOCUMENT . . .” (Defendant Ex. 26 attached to Ex. B pdf p. 344.) Plaintiff’s supplemental response stated “The Change Orders between and in possession of the parties for the three projects. This includes Change Order proposal 1-4 as to the Griffith project, 1-26 as to the 68th St. project, and 1-7 as to the Sutter project.” (Defendant Ex. 26 attached to Ex. B pdf p. 345.) Finally, Form Interrogatory No. 50.1(e) states “state each modification not in writing, the date, and the name, ADDRESS, and telephone number of each PERSON agreeing to the modification, and the date the modification was made . . .”

(Defendant Ex. 26 attached to Ex. B pdf p. 344.) Plaintiff's supplemental response stated "None to Responding Party's knowledge." (Defendant Ex. 26 attached to Ex. B pdf p. 345.)

Plaintiff

submits a declaration by Osiname, where Osiname states:

On or about April 3, 2018, I spoke with RBI's President, Shahrooz Rostami. During our conversation, I informed Mr. Rostami that if my amended Subcontractor Agreement was not accepted by RBI, then RBI would have to find a new subcontractor, which would necessitate RBI's filing of a Request for Substitution of Subcontractor with the LAUSD, and that process could be a protracted one. Mr. Rostami explained that he needed Ayus to begin work immediately and promised to sign to Ayus's amended Subcontractor Agreement if Ayus would immediately begin work on an urgent basis. I accepted Mr. Rostami's verbal acceptance of the Ayus-amended Subcontractor Agreement and promise to deliver a signed copy, and in exchange, immediately began work on the 68th Street Project. The parties both performed pursuant to the unsigned written agreement . . .

(Plaintiff
Ex. A ¶ 35.)

The court finds Defendant met its burden of showing no signed contract relating to the 68th Street Project exists. However, the court further finds Plaintiff has met its burden by demonstrating there are triable issues of fact relating to whether Defendant accepted the terms of the contract.

Statute of
Limitations

Defendant argues that no written contract exists, so the fifth through seventh causes of action are governed by the two-year statute of limitations relating to implied contracts. (Motion pp. 20-21.)

The court is not persuaded the two-year statute of limitations applies here. In *E.O.C. Ord, Inc. v. Kovakovich* (1988) 200 Cal.App.3d 1194, 1196, the Court of

Appeal considered whether the two-year statute of limitations based on oral contracts or four-year statute of limitations based on written contracts applied. The Court held the four-year statute of limitations applied, despite there being no written indication of the defendant's acceptance of the terms of the written contract. (Id. at p. 1199.)

Defendant's

position these causes of action are barred by the two-year statute of limitations is incorrect. Defendant has not met its burden here.

Eighth to Tenth

and Fifth to Seventh Causes of Action

Accord and

Satisfaction

Defendant

argues the eighth to tenth and fifth to seventh causes of action are barred by accord and satisfaction because Plaintiff accepted final payment for the Griffith Project and 68th Street Project. (Motion pp. 22-24.)

In

opposition, Plaintiff argues there are genuine disputes relating to whether Defendant's checks had a conspicuous notation and whether Plaintiff's acceptance was inadvertent or without knowledge. (Opposition pp. 23-24.)

Plaintiff also argues there is a lack of bona fide dispute here because Defendant concealed information from Plaintiff. (Opposition p. 24.)

"A

defendant asserting the defense of accord and satisfaction must establish '(1) that there was a "bona fide dispute" between the parties, (2) that the debtor made it clear that acceptance of what he tendered was subject to the condition that it was to be in full satisfaction of the creditor's unliquidated claim, and (3) that the creditor clearly understood when accepting what was tendered that the debtor intended such remittance to constitute payment in full of the particular claim in issue.'" (Bill Finance Co. v. U-States Forwarding Services Corp. (2002) 95 Cal.App.4th 111, 126.)

As

for the Griffith Project, Defendant submits evidence that it issued a check to

Plaintiff dated October 29, 2018, which stated on the memo line, “Griffith MS – Final COPS’s[.]” (Defendant Ex. 13 attached to Ex. A pdf p. 150.) The check was cashed and debited on October 31, 2018. (Defendant Ex. 14 attached to Ex. A pdf p. 152; Ex. A ¶ 23.) Defendant submits evidence “COP’s” is shorthand for “Change Order Proposals” and that it “matches the term as provided on [Plaintiff’s] own proposal form.” (Defendant Ex. A ¶ 23.) Defendant’s records do not show Plaintiff struck “Final” payment notation before cashing the check and Plaintiff did not issue any invoices after cashing the check. (Defendant Ex. A ¶ 23.)

As

for the 68th Street Project, Defendant submits evidence it issued a check to Plaintiff dated April 24, 2020, which stated on the memo line, “68th St ES – Change Orders Final[.]” (Defendant Ex. 16 attached to Ex. A pdf p. 156.) The check was cashed and debited on or about April 30, 2020. (Defendant Ex. 17 attached to Ex. A pdf p. 158.) Defendant’s records do not indicate Plaintiff struck the “Final” payment notation before cashing the check. (Defendant Ex. A ¶ 25.)

Plaintiff

submits Osiname’s declaration, where Osiname states Plaintiff received two check that had words containing “final” in the memo lines but Osiname “did not understand from the memo lines that by cashing the checks [Osiname] was releasing [Osiname’s] pending claims.” (Plaintiff Ex. A ¶ 25.)

In

reply, Defendant argues it is irrelevant pursuant to Commercial Code section 3301 that Plaintiff “claims it did not subjectively understand the checks to be a final payment, as evidenced by its subsequent conduct where [Plaintiff] supposedly ‘continued to seek payment on the unpaid change orders, including filing stop notices for amounts due.’” (Reply p. 10.)

Commercial

Code section 3301 states:

“Person entitled to

enforce” an instrument means (a) the holder of the instrument, (b) a nonholder in possession of the instrument who has the rights of a holder, or (c) a person not in possession of the instrument who is entitled to enforce the instrument pursuant to Section 3309 or subdivision (d) of Section 3418. A person may be a person entitled to enforce the instrument even though the

person is not the owner of the instrument or is in wrongful possession of the instrument.

The
court fails to see how Commercial Code section 3301 renders Plaintiff's argument irrelevant.

Defendant
also cites Civil Code section 1526 and Commercial Code section 3311 for the proposition that "[w]here a claim is disputed or unliquidated, the acceptance of a check that contains 'the words "payment in full" or other words of similar meaning are notated on the check,' constitutes an accord and satisfaction unless 'the creditor protests against accepting the tender in full payment by striking out or otherwise deleting that notation.'" (Motion p. 22.)

Commercial
Code section 3311, subdivision (b) requires a "conspicuous statement to the effect that the instrument was tendered as full satisfaction of the claim."

The
court reviewed the memo lines on the two checks at issue here and is not persuaded no triable issues of material fact remain here as to whether they contain conspicuous statements to the effect they were tendered as full satisfactions of the claims. The word "final" could refer to either the final change orders submitted, or as a final payment. These are not conspicuous statements showing the instruments were tendered as full satisfaction of the claims.

Ninth and Tenth
and Third and Fourth Causes of Action

Section 9

Defendant
argues the Griffith Project and Sutton Project have written agreements, so common counts cannot be asserted with respect to the change orders for those projects. (Motion pp. 25-26.)

Plaintiff
does not appear to dispute this point but instead appears to only argue Section

9 is not controlling because Defendant insisted on conduct that is more closely aligned with LAUSD's general conditions and Plaintiff accepted this course of conduct. (See, e.g., Plaintiff's Separate Statement No. 215.)

Defendant

cites *Hedging Concepts, Inc. v. First Alliance Mortgage Co.* ("Hedging Concepts") (1996) 41 Cal.App.4th 1410, 1419-1420 for the proposition "equitable entitlement to a quantum meruit payment is not implied where the parties have actual contract terms covering payment." (Motion pp. 25-26.)

"[T]here

is no equitable basis for an implied-in-law promise to pay reasonable value when the parties have an actual agreement covering compensation." (*Hedging Concepts*, supra, 41 Cal.App.4th at p. 1419.) "Quantum meruit is an equitable theory which supplies, by implication and in furtherance of equity, implicitly missing contractual terms. Contractual terms regarding a subject are not implicitly missing when the parties have agreed on express terms regarding that subject. A quantum meruit analysis cannot supply 'missing' terms that are not missing. 'The reason for the rule is simply that where the parties have freely, fairly and voluntarily bargained for certain benefits in exchange for undertaking certain obligations, it would be inequitable to imply a different liability....'" (Id.)

Plaintiff's

third cause of action for common count for work, labor, and services rendered – agreed price and fourth cause of action for common count for work, labor and services rendered – reasonable value relate to the Sutter Project. (SAC ¶¶ 23, 26.) Plaintiff's ninth cause of action for common count for work, labor, and services – agreed price and tenth cause of action for common count for work, labor and services rendered – reasonable value relate to the Griffith Project. (SAC ¶¶ 49, 52.)

Plaintiff

does not dispute that Plaintiff and Defendant entered into written contracts for the Sutter Project and Griffith Project. (Plaintiff's Separate Statement Nos. 208, 210, 212, 214.) Plaintiff disputes that Section 9 of the parties' agreements is controlling. (Plaintiff's Separate Statement Nos. 209, 211, 213, 215.) The court sustained Defendant's objections to the evidence Plaintiff relies on.

The

court finds Defendant has met its burden of showing written agreements exist here. Plaintiff has not met its burden.

The

motion for summary adjudication as to the third, fourth, ninth, and tenth causes of action is granted.

First Cause of

Action for Breach of Written Contract

Defendant

argues the Sutter Project breach of written contract cause of action fails because Plaintiff admitted it was paid in full, so Plaintiff cannot establish Defendant breached the Sutter Project agreement. (Motion p. 26.)

In

opposition, Plaintiff argues it did not admit to receiving full payment and Defendant is not entitled to forfeiture of payment based on the subcontract's paperwork terms. (Opposition pp. 24-25.)

In

reply, Defendant argues that Plaintiff does not dispute Osiname signed the stop notice, stating the "Total value of the whole amount of labor and materials agreed to be furnished is: \$58,000" and Plaintiff had been paid \$58,000, and Section 9 of the parties' agreement said Defendant "shall not pay any extra charges made by the [Plaintiff] that have not been agreed upon in writing by Contractor", so "[t]he terms of Section 9 of the Agreement and [Plaintiff's] Stop Notice admissions bar any further recovery, and no breach can be asserted, as [Plaintiff] admits it was paid in full pursuant to the terms of the Sutter agreement." (Reply p. 11.)

The

referenced Stop Notice states the "[t]otal value of the whole amount of labor and materials agreed to be furnished is: \$58,000[.]" (Plaintiff Ex. 21 attached to Ex. A pdf p. 332.) It further states "[t]he value of the labor and materials furnished to date is: 7/16/2020 \$108,792.59[.]" (Plaintiff Ex. 21 attached to Ex. A pdf p. 332.) It also states "Claimant has been paid the sum of: \$58,000[.]" (Plaintiff Ex. 21 attached to Ex. A pdf p. 332.) Finally, it states "[a]nd there is due, owing and unpaid the sum of: \$50,792.59." (Plaintiff Ex.

21 attached to Ex. A pdf p. 332.)

Defendant

argues the statement in the Stop Notice that the “[t]otal value of the whole amount of labor and materials agreed to be furnished is . . . \$58,000” operates as an admission Defendant did not breach the contract. (Reply p. 11.) But the court is not persuaded the Stop Notice operates as an admission Defendant did not breach the contract because the Stop Notice also states there is due, owing and unpaid the sum of \$50,792.59. (Plaintiff Ex. 21 attached to Ex. A pdf p. 332.)

Defendant

also argues Plaintiff cannot show breach because Plaintiff did not comply with Section 9. (Motion p. 27.)

Plaintiff

submits Osiname’s declaration, where Osiname states “For the Sutter Project, RBI acknowledged that the change order work requested by LAUSD’s CDs was outside the original subcontract agreement and never challenged that they were valid change orders during the time the work was being performed by Ayus.” (Plaintiff Ex. A ¶ 11.)

The

same analysis of Section 9 applies here as above.

There

are triable issues on this cause of action.

Second Cause of

Action for Breach of Oral Contract

Defendant

argues there are no triable issues of material fact relating to the second cause of action for breach of oral contract because Plaintiff concedes no oral agreement exists with respect to the Sutter Project. (Motion p. 28.)

In

opposition, Plaintiff does not directly address the second cause of action.

“The

elements of a breach of oral contract claim are the same as those for a breach of written contract: a contract; its performance or excuse for nonperformance; breach; and damages." (Stockton Mortgage, Inc. v. Tope (2014) 233 Cal.App.4th 437, 453.)

Plaintiff

does not dispute no oral agreement exists with respect to the Sutter Project. (Plaintiff's Separate Statement No. 239.) There are no triable facts as to this cause of action.

The

motion for summary adjudication as to the second cause of action is granted.

VIII.

CONCLUSION

For

the foregoing reasons, the motion for summary judgment is denied. The motion for summary adjudication as to the second, third, fourth, ninth, and tenth causes of action is granted. The motion for summary adjudication as to the first, fifth, sixth, seventh, and eighth causes of action is denied.

Dated: July 20,

2026 _____ Hon. Eric Harmon

Judge of the Superior Court